

Price Index (RPI), which measures changes in the price of a “shopping basket” of retail goods and services. This “basket” includes a wide range of items that consumers might regularly pay for such as food, gas bills, childminding fees, and football tickets.

The RPI is officially known as the RPIJ – the “J” refers to the way in which the index is calculated, according to a method known as Jevons. This index is calculated every year, and the government then uses it to assess other types of taxation such as tax allowances and state pensions. If the RPI increases, for example, the government will have to consider increasing pension payments to compensate for the higher cost of living.

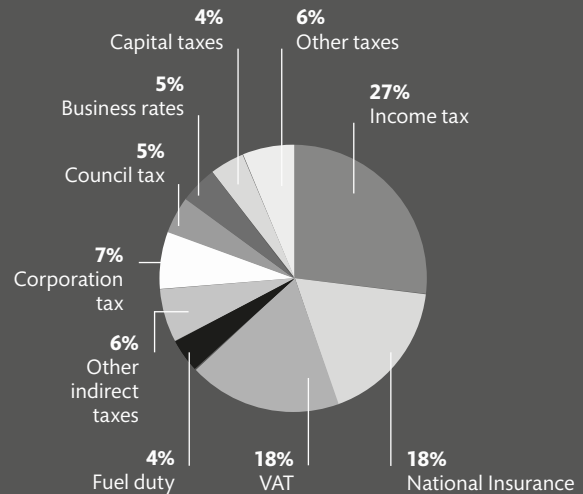
Tax collection

HMRC’s tax collection powers have significantly increased since 2005. It now has the power to obtain contact information for defaulting taxpayers through a third party. It can also petition the courts to put a company into liquidation, and request security against the possibility of future bad debts if a company has previously failed to meet its tax obligations.

Since 6 April 2016, HMRC has been able to recover debts directly from a taxpayer’s account, provided that the debt is more than £1,000 and that HMRC leaves a minimum of £5,000 in the debtor’s account. HMRC can only do this if they have first followed a strict protocol that includes a face-to-face meeting with the taxpayer, discussion of manageable repayment options, and offering support to debtors who are considered to be “vulnerable”.

TAX REVENUE

UK tax revenues



The vast majority of tax revenue comes from income tax and National Insurance contributions, while tax from corporations and other business tax is small by comparison.

The tax gap

Every year a substantial proportion of the tax that is payable to HMRC is not collected. For example, the tax gap for 2013–2014 was around £34 billion, or 6.4 per cent of the total tax bill, according to HMRC statistics. This is 2 per cent less than the tax bill for 2005–2006; the decrease is mainly due to new measures giving HMRC more power and resources to decrease tax evasion, and encourage individuals and businesses to declare accurately and pay voluntarily. Government figures show that in 2014–2015 HMRC collected £517.7 billion in tax revenue, including £26.6 billion that would have been otherwise lost due to evasion.